traded like individual stocks; they can be actively traded throughout the day at whatever the current market price is. For experienced investors trading ETFs, this could be advantageous, as they can track price changes throughout the day and buy or sell ETFs at any point during the day to take advantage of these price changes, which can be pretty substantial. However, with the potential of high short-term gains, there is also high risk involved. ETFs also typically have lower expense ratios than most mutual funds and can sometimes have expenses lower than index funds.[4] However, the fact that they can be actively traded throughout the day means a brokerage may charge commission fees when you buy and sell ETFs, although many brokerage firms in recent times are doing away with these fees.

- **Real Estate Investment Trusts (REITs).** Another type of investment people like to add to their portfolios are REITs. Basically, REITs are companies that invest in real estate. They make investments in income-producing real estate across different sectors like shopping malls and retail spaces, industrial and office buildings, hotels and resorts, technology and data centers, hospitals, storage facilities, farms, and so forth. Many investors like to add REITs to their portfolios for further diversification and as a way to invest in real estate without having to physically purchase property or deal with property management. Investors in REITs earn a share of the income made from the real estate investments in the form of dividends. Personally, I'm a fan of REIT index funds, which aggregate different types of REITs in different industry sectors like the ones I've just mentioned.

Other key differences between these investment fund types—mutual funds, index funds, and ETFs—revolve around fees and tax efficiencies. ETFs and index funds are almost always cheaper and more tax-efficient than managed mutual funds, which we'll discuss later on.

I'd recommend investing in index funds and/or ETFs depending on your investment goals. If you are unsure, an investment advisor can help you to determine your best option. Personally, my favorite way to invest is in index funds. Let's get into why.